Intuitive Surgical (ISRG): Hold — Valuation Concerns

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A best-in-class surgical robotics franchise, priced for perfection. At $416.35, the market implies roughly 19% annual revenue growth for five years. Our DCF sees $288.21 base case, 31% downside.

Hold — Valuation Concerns	$288.21	$416.35	-31%
RATING	BASE TARGET (BLENDED $288.51)	SPOT (OCT 14, 2026)	DOWNSIDE TO BASE

$196.86 / $380.75	10.68%	$10.06B	28.6%	96%	$3.1B
BEAR / BULL TARGETS	LIVE WACC	2025 REVENUE (+20.5%)	2025 NET MARGIN	FCF CONVERSION	NET CASH

Executive summary

We update Intuitive Surgical to **Hold — Valuation Concerns** with a $288.21 base-case target (blended $288.51). The operating story is exceptional: 2025 revenue of $10.06B grew 20.5%, net income reached $2.88B at a 28.6% net margin, and roughly 96% of net income converts to free cash flow on a zero-debt balance sheet carrying $3.1B of net cash.

Recurring instruments and accessories, now the majority of revenue, compound with the installed base and smooth cyclicality. The franchise is best-in-class, but the near-monopoly is ending: Medtronic's Hugo and CMR Surgical's Versius Plus both won FDA clearance in December 2025, and Johnson & Johnson keeps investing across surgical robotics.

> **Our read:** the market is pricing perfection. At roughly 46x trailing earnings and 59x price-to-FCF, any deceleration in procedure growth, placements, or gross margin triggers multiple contraction. The stock's 27% year-to-date decline is multiple compression, not broken fundamentals, but our reverse DCF shows $416.35 implies roughly **19% annual revenue growth** for five years, far above our 13.5% bull case. Exceptional business, demanding price.

Base-case assumptions

SCENARIO	2026-31 CAGR	2031 REVENUE	2031 FCF/SHARE	TARGET	UPSIDE
Bear (25%)	11.0%	$18.8B	$15.22	**$196.86**	-53%
Base (50%)	12.2%	$20.1B	$17.46	**$288.21**	-31%
Bull (25%)	13.5%	$21.5B	$19.67	**$380.75**	-9%

WACC 10.68% live (spot 10Y ~5.2% + 1.48 beta x implied ERP). Net margins expand linearly to 30.6% / 32.9% / 34.6% by 2031 as recurring mix rises; FCF modeled at 96% of net income. Terminal value averages a Gordon perpetuity (3.25% growth) with an EV-to-FCF exit multiple (20x / 33.5x / 42.5x). Net cash $3.07B; ~354.5M diluted shares growing 0.4%/yr to ~363.1M. 25/50/25 Bear/Base/Bull weights give blended $288.51.

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Bull case: $380.75 FASTER ROLLOUTS

Faster platform rollouts and share gains drive 13.5% growth with margins expanding to 34.6% by 2031. Worth $380.75, still 9% below spot. Even granting premium exit multiples, the stock screens too rich.

Bear case: $196.86 COMPETITION BITES

Hospital capital spending tightens and competition from Hugo and Versius Plus intensifies; growth slows to 11% and margins stall near 31%. The premium exit multiple is the first assumption to break. Worth $196.86, 53% below spot.

Verdict

We rate ISRG Hold — Valuation Concerns. The business is exceptional: 2025 revenue up 20.5%, free cash flow converting at 96% of net income, and $3.1B of net cash on a zero-debt balance sheet. The 27% year-to-date decline is multiple compression, not broken fundamentals. The concern is purely valuation: at $416.35 the market prices roughly 19% annual revenue growth for five years, far above our 13.5% bull case, with the stock near 46x trailing earnings. We reserve Sell for names where overvaluation meets business deterioration; ISRG is the opposite, a superb franchise at a demanding price. We would turn constructive below $300, where the base case starts to offer compensation for the risk.

What would change our mind

- **Price:** a decline below $300 would bring the base case into a favorable risk-reward zone.
- **Competitive reprieve:** decisive share defense against Hugo and Versius Plus would support the premium exit multiple.
- **Faster adoption:** procedure volumes or international penetration above our 13.5% bull path would lift every scenario.

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Key themes

1. The installed base is the compounder ACCELERATING

Instruments and accessories are the majority of revenue and compound with the installed base, making growth utilization-driven rather than placement-driven. About 9 million annual procedures are addressable with current products and clearances, with roughly 20 million more candidates; aging demographics across the U.S., Europe, and Asia support volumes for years.

2. The near-monopoly is ending DECELERATING

Medtronic's Hugo (modular arm carts plus Touch Surgery AI) and CMR Surgical's Versius Plus, both cleared in December 2025, give hospitals leverage to negotiate system, instrument, and service pricing. Johnson & Johnson keeps investing across robotics and digital surgery, while ortho and spine robots absorb the same hospital capital budgets.

3. Margin expansion comes from the mix STABLE

As the installed base matures, high-margin recurring revenue takes a larger mix share, lifting net margins from 28.6% toward 31% to 35% by 2031. Cash conversion near 96% funds R&D while the installed base does the compounding.

4. Headwinds on the horizon STABLE

GLP-1 anti-obesity drugs are directly cutting bariatric surgical volumes, with longer-term risk to obesity-linked volumes. China's anti-corruption campaign, procurement quotas, and preference for domestic robotics create structural friction, while European and Asian single-payer systems reimburse robotic surgery more restrictively.

Other KPIs

METRIC	VALUE
Market cap (at $416.35)	~$141B
Enterprise value	~$138B
2025 revenue / YoY	$10.06B / +20.5%
2025 net income	$2.88B
Net margin	28.6%
Net cash	$3.1B

Guidance

Watch procedure volume growth, da Vinci 5 placements and instrument utilization per system, international adoption, and any competitive pricing commentary from hospital capital committees.

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Reverse DCF: what the market is pricing in

At $416.35, ISRG carries a ~$141B market cap and a ~$138B enterprise value. Holding our base-case 96% FCF conversion flat and discounting at the 10.68% live WACC with 3.25% terminal growth, the market-implied five-year revenue CAGR is roughly **19%**, far beyond our 13.5% bull case.

SCENARIO	5-YR REVENUE CAGR	TARGET
Market-implied	~19%	$416.35 (spot)
Bull case	13.5%	**$380.75**
Base case	12.2%	**$288.21**
Bear case	11.0%	**$196.86**

The market is pricing growth at a pace ISRG has rarely sustained at this scale, just as competition from newly cleared platforms intensifies. Near 46x trailing earnings and roughly 59x price-to-FCF price in perfection; any deceleration in procedure growth or placements triggers multiple contraction.

Model

Full three-scenario 2026-2031 DCF with live CAPM, Gordon perpetuity and exit-multiple terminal, and implied-ERP tab.

Risks to our Hold

- **Faster platform rollouts and international adoption exceed our 13.5% bull trajectory.**
- **Competitors stumble on execution, preserving ISRG's pricing power and premium exit multiple.**
- **The 10-year yield retreats, mechanically lifting every scenario target.**

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